

Real-World Asset Tokenization, DeFi, and Systemic Risk: Lessons from Stablecoins and the First Brands Collapse

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Abstract

This paper examines how the rapid growth of real-world asset (RWA) tokenization interacts with decentralized finance (DeFi) to create new channels of systemic risk. By early 2026, tokenized RWAs had reached an estimated \$36 billion in value, concentrated primarily in private credit and U.S. Treasury exposures, and are increasingly serving as collateral in on-chain lending and stablecoin structures (RWA.xyz, 2026). The paper reviews the foundations of DeFi and the role of stablecoins, then analyzes the TerraUSD and USD Coin episodes as early examples of peg instability and cross-market contagion between crypto and traditional finance (Bank for International Settlements, 2023; Financial Stability Board, 2023). It develops a risk taxonomy for tokenized RWA markets covering liquidity, oracle, collateral, legal, and contagion risk, and explains how leveraged looping amplifies shocks in collateralized lending protocols (Acemoglu et al., 2015; Gai & Kapadia, 2010). The paper then uses the First Brands Group bankruptcy and associated fabricated receivables as a case study of liquidity illusion, credit fraud, and on-chain fire sales in tokenized credit pools (ABF Journal, 2026). It concludes by discussing emerging regulatory responses and design principles intended to mitigate these vulnerabilities. The analysis underscores that RWA tokenization can improve capital efficiency but simultaneously creates a transmission belt that propagates off-chain credit stress into DeFi liquidation cascades.

Keywords: real-world asset tokenization, decentralized finance, stablecoins, systemic risk, private credit, shadow banking, DeFi liquidation, financial contagion

JEL Classification: G01, G10, G18, G23, G28

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1. Introduction

Public blockchains have evolved from a niche experiment in digital currency into a growing infrastructure layer for credit, payments, and capital markets. A central development in this trajectory is decentralized finance (DeFi), a set of smart-contract-based financial protocols that intermediate lending, trading, and derivatives activity without traditional banks or broker-dealers. Within this ecosystem, the tokenization of real-world assets (RWA) has emerged as a key mechanism linking traditional financial claims to programmable on-chain instruments that can be traded or pledged as collateral in DeFi markets (McKinsey & Company, 2023).

By early 2026, the market value of tokenized RWAs had grown to roughly \$36 billion, concentrated in two segments: tokenized private credit, accounting for approximately \$19 billion, and tokenized U.S. Treasury products that have become a preferred backing asset for yield-bearing stablecoins (RWA.xyz, 2026). The stated objective of this convergence is to unlock dormant collateral by enabling illiquid assets to support leverage and liquidity transformation within DeFi. However, the same architecture that improves capital efficiency can also create a transmission belt for systemic risk, amplifying off-chain credit shocks through on-chain liquidation engines and feedback loops (Acemoglu et al., 2015).

This paper is designed to serve two related purposes. For those approaching this topic for the first time, it provides a structured foundation covering the core mechanics of DeFi, the design of stablecoins, and the architecture of RWA tokenization. For practitioners and policymakers, it develops an analytical framework for assessing the systemic risks produced by the intersection of these markets, drawing on recent empirical episodes that demonstrate the transmission mechanisms described.

The paper proceeds as follows. Section 2 reviews core DeFi mechanisms and the role of stablecoins as settlement media. Section 3 examines the Terra/Luna collapse and the USDC depeg during the Silicon Valley Bank failure as canonical examples of instability in digital monetary instruments. Section 4 develops a risk taxonomy for tokenized RWAs and explains how leveraged looping amplifies shocks. Section 5 uses the First Brands Group bankruptcy as a case study in direct transmission from traditional credit markets to DeFi. Section 6 discusses emerging regulatory and design responses, and Section 7 concludes.

2. DeFi, Stablecoins, and the Settlement Infrastructure

Understanding why RWA tokenization creates systemic risk requires a clear grasp of the infrastructure into which tokenized assets are being inserted. Decentralized finance protocols replicate many traditional financial functions through smart contracts deployed on public blockchains such as Ethereum. Users interact with these contracts through non-custodial wallets,

supplying collateral to lending pools, borrowing other assets, providing liquidity to automated market makers, and entering derivatives positions. Collateral management, interest accrual, and liquidations are encoded in open-source code, with positions monitored in real time on the underlying blockchain.

Within this ecosystem, stablecoins serve as the primary settlement asset and unit of account. Three broad categories exist. Fiat-backed stablecoins such as USD Coin (USDC) and Tether (USDT) promise full or near-full backing with bank deposits and short-term securities. Crypto-collateralized stablecoins are over-collateralized with volatile crypto assets held in smart contracts, with MakerDAO's DAI (rebranded to Sky) the most prominent example. Algorithmic stablecoins attempt to maintain parity with a fiat currency through supply rules and arbitrage mechanisms rather than explicit reserves. All three designs are deeply embedded in DeFi liquidity provision, lending, and derivatives markets, which makes their stability a prerequisite for the stability of the broader ecosystem.

The lending architecture of DeFi protocols is built on over-collateralization. Borrowers deposit assets worth more than the amount they wish to borrow, and protocols specify a liquidation loan-to-value (LTV) ratio. When a collateral position's value falls below that threshold, the protocol automatically sells the collateral to repay the lender. This mechanism eliminates counterparty risk in a system without credit checks or legal recourse, but it also concentrates liquidation activity in moments of price stress, potentially amplifying downward price movements across interconnected protocols.

Network models confirm this structural concern. Gai and Kapadia (2010) demonstrate that financial systems exhibit a robust-yet-fragile tendency: interconnected networks may absorb moderate shocks without visible stress, but once a critical threshold is crossed, losses can propagate widely and quickly. Acemoglu, Ozdaglar, and Tahbaz-Salehi (2015) formalize this phase-transition property, showing that the same dense interconnections that enhance stability under small shocks can become transmission belts for systemic failure under larger ones. Both results apply with particular force to DeFi, where shared collateral assets and stablecoin reserves create exactly the dense cross-protocol linkages these models identify as potential amplifiers.

3. Early Systemic Episodes: Terra/Luna and the USDC De-Peg

Before the current wave of RWA tokenization, DeFi experienced two episodes that established the template for how instability in digital monetary instruments can propagate across the financial system. Both cases provide important reference points for understanding the risks that RWA integration introduces.

3.1 The TerraUSD Collapse

The failure of TerraUSD (UST) in May 2022 demonstrated the fragility of algorithmic stablecoins (Krause, 2025). Terra relied on a mint-and-burn mechanism between UST and its volatile

governance token LUNA, supplemented by external demand from the Anchor Protocol, which offered approximately 20 percent annual yields on UST deposits. This yield attracted large capital inflows that expanded the Terra ecosystem rapidly but created a structural dependency: the peg depended on continuous demand, which in turn depended on confidence in the sustainability of the yield.

When confidence in the peg eroded in early May 2022, a sequence of large withdrawals from the Anchor Protocol triggered UST selling. As investors sold UST, the algorithmic mechanism minted new LUNA to absorb supply, driving LUNA's price downward. Lower LUNA prices undermined confidence in the backing mechanism further, accelerating redemptions in a feedback loop. Within days, both UST and LUNA had lost nearly all of their value, erasing tens of billions of dollars in market capitalization. Losses cascaded to DeFi platforms that had treated UST as a stable settlement asset, and the collapse contributed to the subsequent failures of crypto lending firms including Celsius Network, Voyager Digital, and Three Arrows Capital (Bank for International Settlements, 2023).

The Terra episode illustrated four features that occur in later crises. Algorithmic stabilization mechanisms can fail catastrophically when confidence falters. Leverage within DeFi amplifies losses when collateral values decline rapidly. Interconnected exposures allow losses to propagate across protocols and platforms. And the absence of traditional crisis management tools, such as central bank lending facilities, means that DeFi crises can resolve through abrupt value destruction rather than the negotiated restructuring more common in traditional finance.

3.2 The USDC De-Peg and Silicon Valley Bank

A second important episode occurred in March 2023, when USDC temporarily lost its dollar peg following the failure of Silicon Valley Bank (SVB). Circle, the issuer of USDC, disclosed that approximately \$3.3 billion of its reserves were held at SVB at the time of the bank's closure by regulators. This disclosure created uncertainty about whether those funds would be recoverable, and USDC traded below \$0.90 on some venues over the subsequent weekend before recovering after U.S. regulators confirmed that all SVB depositors would be made whole (Financial Stability Board, 2023).

The USDC episode demonstrated that even fiat-backed stablecoins with explicit reserve structures can transmit stress from the traditional banking system into DeFi. Because USDC is a central source of liquidity across DeFi lending protocols and trading venues, its temporary de-peg created cascading disruptions in collateral valuations and liquidity availability across the ecosystem. The International Monetary Fund (2023) has highlighted this liquidity mismatch risk as a key vulnerability of stablecoin arrangements: when backing assets are less liquid or more concentrated than the redemption promises they support, even a partial loss of confidence can produce a run dynamic.

Taken together, the Terra collapse and the USDC episode establish a clear pattern. Digital monetary instruments occupy a critical position in DeFi infrastructure (Krause, 2026). When those instruments experience stress, whether from endogenous design failure or exogenous shocks from the traditional financial system, the consequences propagate rapidly across protocols that depend on them for settlement and collateral. As tokenized RWAs become integrated into this infrastructure, they create additional channels through which traditional credit risk can enter and destabilize the DeFi ecosystem.

4. RWA Tokenization: Architecture, Market Structure, and Risk Taxonomy

4.1 Architecture and Market Development

Tokenized RWAs extend the DeFi ecosystem by making claims on traditional financial assets available as on-chain instruments. In a typical structure, a financial institution or special purpose vehicle holds the underlying asset, such as a private credit loan, trade receivable, or government bond, while blockchain tokens represent economic claims on that asset pool (McKinsey & Company, 2023). Investors can trade these tokens on digital venues or pledge them as collateral in DeFi lending protocols, applying the automation and composability of blockchain infrastructure to instruments whose economic value is determined in traditional markets.

The private credit segment of the RWA market has attracted particular attention. Global private credit assets under management reached approximately \$3.5 trillion in 2025 (Alternative Credit Council, 2025), providing a large pool of potential collateral for tokenization. Platforms such as Centrifuge, Maple Finance, Plume Network, and Midas have developed infrastructure for tokenizing private credit strategies, and DeFi lending protocols including Morpho Labs have begun accepting these tokens as collateral. Tokenized U.S. Treasury products have grown in parallel, driven by demand from investors seeking on-chain yield and by stablecoin issuers seeking high-quality backing assets (RWA.xyz, 2026).

The SEC's Crypto Task Force has received detailed submissions addressing the architecture and regulatory requirements of tokenized sovereign bills and private credit, reflecting the growing recognition among regulators that this market segment requires specific supervisory attention (U.S. Securities and Exchange Commission, 2026). The Financial Stability Board has similarly emphasized that the growing interconnection between tokenized assets and DeFi protocols requires regulatory frameworks that apply the principle of same activity, same risk, same regulation (Financial Stability Board, 2023).

4.2 Risk Taxonomy

RWA tokenization introduces several categories of risk that interact with each other and with the structural features of DeFi lending markets. These categories can be organized into a taxonomy that provides a framework for both institutional risk assessment and regulatory analysis.

Liquidity risk represents the most fundamental category. Many tokenized RWAs are backed by inherently illiquid exposures such as multi-year loans or private receivables, yet the on-chain tokens can trade continuously and can be used in lending protocols that permit rapid withdrawal. In stress periods this creates what can be described as a liquidity illusion: the apparent depth of the token market disappears when investors attempt to exit positions in volume or when stablecoin holders attempt to redeem instruments backed by these assets. This mismatch between the apparent liquidity of tokenized instruments and the genuine illiquidity of the underlying exposures is structurally analogous to the dynamics that Gennaioli, Shleifer, and Vishny (2013) identify as central to shadow banking fragility.

Oracle risk is specific to the DeFi context. DeFi protocols depend on price feeds called oracles to determine collateral values and trigger liquidations. For RWAs, oracle feeds typically rely on net asset value (NAV) marks from issuers or fund administrators, which may be updated discretely on a weekly or monthly schedule rather than continuously. If reported values fail to incorporate emerging credit deterioration in a timely manner, protocol-level collateralization ratios can be overstated. This delay concentrates liquidation pressure into short windows once NAVs are updated, creating the conditions for abrupt, clustered forced sales rather than the gradual adjustment that continuous pricing would produce.

Collateral and credit risk reflects the dependence of RWA token values on the quality of the underlying exposures and the legal enforceability of claims. Defaults, fraud, or valuation errors in an underlying credit pool impair the token value, and in leveraged structures this impairment can produce margin shortfalls that trigger automated liquidation cascades. This is the channel through which the First Brands Group bankruptcy affected DeFi collateral positions, discussed in detail in Section 5.

Legal and regulatory risk arises from the uncertain legal status of tokenized instruments at the intersection of securities law, banking regulation, and emerging digital asset regimes. Questions remain about investor protection, disclosure requirements, and the priority of token holders in insolvency proceedings. The European Central Bank (2023) has noted new operational and custody risks associated with tokenized securities, while U.S. regulatory guidance on these instruments continues to evolve.

Contagion risk emerges from the network structure of RWA markets within DeFi. Acemoglu et al. (2015) and Gai and Kapadia (2010) demonstrate that interconnected balance sheets can both absorb and amplify shocks depending on the magnitude of the initial disturbance and the density of network linkages. In the RWA context, the shared use of the same tokenized credit pools and stablecoin reserves across multiple DeFi protocols creates channels for rapid propagation when one pool experiences losses or elevated redemptions.

Table 1
Risk Taxonomy for Tokenized Real-World Asset Markets

Risk Category	Source of Risk	DeFi Amplification Mechanism
Liquidity	Illiquid underlying assets (private loans, receivables) packaged into tradable tokens	Token holders redeem simultaneously; underlying assets cannot be liquidated to meet demand
Oracle	Discrete NAV updates from fund administrators rather than continuous market pricing	Stale valuations overstate collateral ratios; mark-downs trigger concentrated liquidation events
Collateral / Credit	Defaults, fraud, or valuation errors in the underlying credit pool	Token NAV declines trigger automated margin calls and collateral sales across leveraged positions
Legal / Regulatory	Uncertain investor protections and token-holder priority in insolvency	Unclear recovery prospects amplify panic selling when credit events occur
Contagion	Shared collateral pools and stablecoin reserves across multiple DeFi protocols	Losses in one pool propagate through interconnected liquidity and collateral exposures

Note. Risk categories draw on the framework developed in the uploaded source document and on Acemoglu et al. (2015) and Gai and Kapadia (2010). DeFi amplification mechanisms are based on the structural features of on-chain lending protocols.

4.3 Leveraged Looping and the Stablecoin-RWA Nexus

The risks compiled above do not operate independently. They interact with a specific DeFi practice that significantly amplifies their potential severity: leveraged looping. In this strategy, an investor deposits a yield-bearing RWA token as collateral in a DeFi lending protocol, borrows a stablecoin against that collateral, and then uses the borrowed stablecoin to acquire more of the same RWA token. By repeating this cycle multiple times, the investor can build an effective exposure to the underlying asset that is several times the size of their initial capital.

The arithmetic of leveraged looping is straightforward. If an investor begins with an initial position of \$100,000, borrows repeatedly at a 75 percent LTV ratio, and reinvests the proceeds in the same collateral asset, total exposure can reach \$400,000 or more. In benign conditions, with an asset yield exceeding the borrowing cost, this strategy can generate returns that appear attractive relative to the underlying asset's yield. However, the structure is highly sensitive to declines in collateral value, which may trigger a margin call requiring the borrower to post additional funds or securities. A 5 percent decline in the NAV of the underlying token reduces the value of a four-times levered position by 20 percent. A decline of 15 percent or more at a 75 percent LTV ratio can trigger complete liquidation of the position (RWA.xyz, 2026).

The interaction between leveraged looping and the stablecoin-RWA nexus creates an additional layer of systemic interconnection. New stablecoins such as Sky (USDS) and Ondo (USDY) are themselves backed in large part by RWAs including private credit and short-term government bills. This means that a deterioration in the credit quality of an underlying private loan pool can affect not only the tokens representing that pool but also any stablecoin whose reserves include those tokens. Investors holding such stablecoins as near-risk-free collateral in other DeFi positions may then find their collateral values impaired, triggering a second round of margin calls and liquidations that extend well beyond the original credit event.

This scenario combines the dynamics observed in the Terra and USDC episodes with the structural characteristics of current RWA-backed stablecoins and leveraged credit pools. The First Brands Group collapse, examined in the next section, demonstrates how this transmission chain can materialize in practice.

5. Case Study: First Brands Group and the Tokenization Channel

5.1 Bankruptcy and Its On-Chain Consequences

In late 2025, First Brands Group filed for Chapter 11 bankruptcy protection with liabilities exceeding \$10 billion. Post-petition investigations by restructuring advisors confirmed approximately \$2.3 billion in fabricated receivables that the company had used to secure financing from asset-based lenders and private credit funds (ABF Journal, 2026). Despite unqualified audits from national accounting firms, First Brands had allegedly double-pledged inventory and systematically misrepresented the quality of its receivables, exposing significant weaknesses in traditional credit due diligence and in the process of on-boarding assets into tokenized structures.

A portion of the private credit exposure to First Brands had been packaged into tokenized credit pools accessible within DeFi. When restructuring advisors confirmed the scope of the fraud and fund administrators adjusted NAV marks to reflect expected recovery rates, the net asset value of RWA tokens referencing these exposures declined sharply. DeFi protocols that had accepted these tokens as collateral, typically specifying an 85 percent LTV liquidation threshold, triggered automatic collateral sales once updated NAVs pushed borrower positions below the required ratio.

The resulting forced sales occurred in secondary markets that were thin and one-sided. Sellers were numerous and simultaneous, while buyers were scarce and cautious. The market clearing prices for the distressed tokens fell well below fundamental value estimates based on expected recovery rates, generating losses beyond the core credit impairment. This is a textbook illustration of the fire-sale dynamics that Gai and Kapadia (2010) model analytically: illiquid assets facing forced liquidation produce price impacts that amplify the initial loss, redistributing wealth from distressed sellers to patient capital providers.

It bears noting that in the specific episode described by Sandor (2026) involving the mF-ONE token on the Midas platform and the Morpho lending protocol, lenders ultimately did not

incur losses and risk management mechanisms functioned as intended. The more severe scenario described in post-petition investigations pertained to off-chain asset-based lending structures rather than to DeFi protocols exclusively. Nevertheless, the episode demonstrated the complete transmission mechanism: a corporate fraud in the traditional economy altered the valuation of a tokenized instrument, which in turn affected DeFi collateral positions and brought multiple leveraged borrowing arrangements close to automatic liquidation.

5.2 Structural Lessons

The First Brands case illustrates four structural features of systemic RWA risk that merit specific attention. Each represents a gap in either traditional due diligence practice or DeFi protocol design.

The first is the propagation of off-chain fraud into on-chain instruments. Investors purchasing or pledging tokenized private credit tokens may perceive those instruments as professionally managed and diversified, but the tokens' economic value is entirely dependent on the integrity of the underlying credit due diligence and the accuracy of the reported receivables. Neither the blockchain infrastructure nor the smart contract code provides any protection against fraud at the origination stage.

The second is the oracle timing problem. In the First Brands case, NAV updates that reflected the fraud occurred discretely, after the bankruptcy filing and the initial court-supervised disclosure of fabricated receivables. Until those updates occurred, on-chain collateral positions appeared adequately secured. The gap between the economic reality and the reported NAV created a period during which leveraged borrowers were unknowingly under-collateralized, and the correction of that gap produced concentrated, simultaneous forced liquidations rather than a gradual adjustment.

The third structural feature is leverage multiplication. Because some DeFi borrowers used tokenized credit tokens as collateral for leveraged looping strategies, a 2 percent decline in token NAV, as occurred in the Morpho episode, had a significantly larger impact on borrower collateralization ratios than the same decline would have had for an unlevered holder. Risk that appeared modest at the portfolio level was amplified into a near-liquidation event at the protocol level.

The fourth lesson concerns governance gaps at both the traditional and on-chain levels. Standard financial audits, which are designed to assess the accuracy of financial statements as of a particular date, proved insufficient to detect ongoing fabrication of receivables in real time. DeFi protocol risk committees, which assess the suitability of proposed collateral types, lack the investigative tools to verify the authenticity of the underlying credit exposures represented by RWA tokens. Effective risk management in tokenized credit markets requires enhanced off-chain verification mechanisms and more frequent NAV reporting than current practice provides.

6. Regulatory and Design Responses

6.1 International Regulatory Frameworks

International standard-setting bodies have begun articulating principles for the oversight of tokenized assets and DeFi. The Financial Stability Board (2023) has argued that as crypto assets become more interconnected with traditional finance, regulators should apply the principle of same activity, same risk, same regulation. This principle implies that tokenized private credit instruments should be subject to the same disclosure, investor protection, and credit risk management requirements that apply to traditional structured credit products.

The Bank for International Settlements (2023) has argued that many existing stablecoins fail to meet the key properties of sound money, including robust backing, effective redemption mechanisms, and adequate governance. These findings are directly relevant to RWA-backed stablecoins, which may face redemption demands that exceed the liquidity of their underlying portfolios during periods of credit stress. The International Monetary Fund (2023) has highlighted transparency gaps in stablecoin reserves as a particular vulnerability, noting that disclosure standards for backing assets remain inconsistent across issuers and jurisdictions. The European Central Bank (2023) has examined both potential settlement efficiency gains from tokenization and new operational and custody risks, noting that regulatory frameworks must evolve in parallel with market development.

6.2 U.S. Regulatory Developments

Within the United States, the regulatory response to RWA tokenization has accelerated since 2025. The SEC's Crypto Task Force, established in January 2025, has received detailed written submissions addressing tokenized sovereign bills and private credit, including technical frameworks for supervisory-safe agentic execution and auditable decision logs for AI systems managing RWA portfolios (U.S. Securities and Exchange Commission, 2026). The 2025 GENIUS Act and related legislative proposals have directed attention toward stablecoin reserves, redemption mechanics, and supervisory oversight of tokenized instruments.

Three design mechanisms have emerged from this regulatory and industry discussion as particularly relevant to managing systemic risk in tokenized credit markets. The first is the use of isolated lending markets, as implemented by Morpho Labs, in which a default in a single RWA pool does not drain liquidity from an entire protocol. By confining collateral risk to specific vault structures rather than sharing it across a global liquidity pool, this design limits the blast radius of a credit event at the cost of somewhat lower capital efficiency (Morpho, 2026). The second is real-time cryptographic proof of reserves, which links on-chain token supply to verifiable off-chain custody records and bank accounts, replacing static quarterly attestations with continuous verification. The third is mandatory and granular reporting on underlying credit exposures, enabling both regulators and market participants to assess credit quality without relying exclusively on periodic NAV marks that may lag actual deterioration.

6.3 Design Principles for Practitioners

Beyond formal regulation, this analysis suggests several design principles for market participants building or investing in tokenized credit structures. These principles are informed by the risk taxonomy in Section 4 and by the lessons of the case studies examined in Sections 3 and 5.

First, conservative LTV ratios calibrated to the genuine liquidity profile of the underlying assets are essential. Collateralization thresholds appropriate for liquid crypto assets are likely to be insufficient for tokenized private credit instruments, whose values update discretely and can decline abruptly when credit events occur. Stress tests using network contagion models, such as those developed by Acemoglu et al. (2015) and Gai and Kapadia (2010), provide a more appropriate basis for LTV calibration than historical price volatility alone.

Second, segregation of collateral pools by asset class and risk profile reduces contagion risk by preventing losses in one credit strategy from affecting positions collateralized by other strategies. The isolated vault architecture of protocols such as Morpho represents a practical implementation of this principle at the protocol level (Morpho, 2026).

Third, enhanced due diligence on underlying credit exposures must accompany the onboarding of any asset into a tokenized structure intended for use as DeFi collateral. The First Brands episode demonstrates that standard financial audits are insufficient to detect sophisticated credit fraud in real time. Third-party verification of receivables, continuous monitoring of borrower financial conditions, and integration of off-chain credit intelligence into on-chain risk parameters are necessary complements to the technological infrastructure of tokenization.

Fourth, investors and risk managers should treat leveraged looping strategies in RWA markets with particular caution. The attractive headline yields generated by these strategies reflect leverage rather than superior risk-adjusted returns, and the asymmetric downside risk that emerges when collateral values decline can convert what appears to be a stable yield strategy into a source of rapid capital loss.

7. Conclusion

By early 2026, RWA tokenization has progressed from a theoretical concept to a meaningful and growing segment of global credit and securities markets. The integration of tokenized private credit and sovereign bills into DeFi lending protocols and stablecoin reserves increases the efficiency of capital allocation and broadens investor access to asset classes that were previously difficult to deploy in digital markets. At the same time, it creates new channels for systemic risk that combine the vulnerabilities of traditional credit markets, particularly illiquidity, opacity, and credit fraud, with the speed and automation of smart-contract-based liquidation engines.

The Terra/Luna collapse and the USDC de-peg during the Silicon Valley Bank failure provide a historical template for how instability in digital monetary instruments propagates across DeFi. The First Brands Group bankruptcy demonstrates how off-chain credit fraud can generate

abrupt on-chain fire sales and contagion through tokenized credit pools. Leveraged looping strategies and the stablecoin-RWA nexus magnify these effects by increasing effective exposure to shared collateral pools and by linking the stability of digital monetary instruments to the credit quality of traditional loan portfolios.

Regulatory and design responses emphasizing transparency, segregation of risk, and robust proof of reserves can mitigate some of these vulnerabilities. The principles of same activity, same risk, same regulation articulated by the Financial Stability Board (2023) provide an appropriate starting framework. However, effective oversight requires more than applying existing rules: it requires regulators, practitioners, and researchers to develop new tools for monitoring cross-market contagion channels that span the boundary between traditional and digital finance.

For policymakers, the central challenge is ensuring that the capital efficiency and access benefits of tokenized finance are realized without importing the systemic weaknesses of traditional credit markets into DeFi at scale. For practitioners, the lesson from early crises in this space is that robust risk management, conservative leverage, and skeptical due diligence remain essential, even when assets are wrapped in modern cryptographic form. And for students of finance, these episodes illustrate a pattern that recurs across the history of financial innovation: the technology changes, but the underlying dynamics of liquidity mismatch, leverage, and contagion do not.

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